

Growth Circle Weekly Heavy Machinery Investment Open Forum — Meeting Minutes

Date: Friday, May 29, 2026

Format: Live group video call · informal peer-to-peer investor forum (recurring weekly)

Duration: Approximately 60 minutes (source notes do not state exact start–end)

Facilitator: Ben (regular weekly host; surname not stated in source)

Key presenter(s): None — peer-to-peer member forum with no single presenter. Substantive contributions distributed across attending program participants. One attending participant (Jocelyn) made an extended substantive contribution on AI-built material-participation tooling she has developed and offered to share with the group.

Named participants: Jocelyn, Derek, Andrew, Ben (host), Amy (St. Louis area participant, distinct from Amy Davis at EquipmentShare / EZ Equipment Zone), and other participants identified only by first name in the source. Cheryl Flynn was referenced by name as the originator of the property-tax thread on a prior call. Braiden Shaw (spelling per operator) was referenced as the deal lead. Sunil was referenced regarding a prior Pasadena Expo event. Amy Davis was referenced as the EquipmentShare / EZ Equipment Zone contact for purchase coordination. Andy Martin was referenced as a lender introduction point. Brian was referenced as a representative of the equipment vendor (EquipmentShare / EZ Equipment Zone). Jackson was referenced as the SPV-deal sponsor on prior deals and as the contact for event invitations. Garrett (no surname stated in source; understood to be at Prime Tax Services per prior meetings) was referenced as the tax attorney several attending participants planned to consult at the Salt Lake City event.

Recording status: Not stated in source notes.

Distributed materials: During the meeting, an attending participant posted a "knowledge hub" link in chat referencing a GitHub-hosted resource that consolidates AI-built material-participation and tax-modeling tools she has developed. No spreadsheet or slide deck was formally distributed during the meeting.

Meeting overview

The May 29 weekly open forum was a peer-to-peer investor sync held the week before a major Growth Circle in-person gathering in Salt Lake City. The format was conversational and unscripted; attending participants used the call to compare notes, surface open questions, coordinate event logistics, and exchange diligence on substantive open issues. The tone throughout was collaborative and candid — multiple attending participants openly disclosed uncertainty, deferred to expected in-person conversations with advisors, and reframed unresolved tax questions as personal risk-tolerance calls rather than waiting for clean group answers.

The meeting's overarching theme — most consequential by margin — was an extended and unresolved debate over whether the investor-LLC owners of heavy equipment are personally liable for state-level business personal property tax on the equipment. The thread was first raised on a prior call by a member with deep equipment-leasing experience, and on May 29 it absorbed roughly a third of the meeting's runtime. The group worked through the underlying transaction chain, the "Nexus" tax concept, the practical complications introduced by mobile equipment, the wide variation in state and county thresholds, and the absence of clear answers from either the program's deal lead or the equipment vendor's representative. The thread closed without resolution, deferring to expected in-person conversations at Salt Lake City.

Other substantive threads included Salt Lake City event logistics and event-access rules, sales tax mechanics at purchase and exit, the purchase process and platform speed for returning participants, the 100-hour material participation requirement under Treas. Reg. §1.469-5T(a)(3) and recent organizer clarifications tightening what counts, an attending participant's presentation of AI-built compliance and tracking tools she has developed, a discussion of whether re-watching call recordings counts toward material participation, a comparative analysis of Workforce Housing as an alternative or complement to heavy equipment, self-directed retirement-account custody through Horizon Trust, K-1 timing and amendment dilemmas for VC-fund investors, and a reflective discussion on the Growth Circle community's rapid growth from roughly 50 to 2,269 members and the lock-in dynamics of its membership-fee structure.

The meeting also confirmed the weekly forum would tentatively continue the following Friday and that the call on the 12th would likely remain in place for participants not attending Salt Lake City.

Salt Lake City event — travel logistics, schedule, and event-access rules

The call opened informally with attending participants coordinating travel plans for a cluster of Growth Circle events being held in Salt Lake City the following week. There was an undercurrent of excitement and some logistical anxiety as people tried to align flights, ground transportation, and event timing.

Arrivals and the warehouse drive

Several attending participants confirmed flying in on either Thursday or Friday. One participant flew Thursday specifically to attend the eFund dinner that evening. Another described landing in Salt Lake City at 10:00 AM on Friday and planning to drive directly from the airport to the Space Station event rather than checking into lodging first. The group noted the Space Station event is being held at a warehouse roughly **45 minutes from the airport**, and that the Friday morning timing therefore implied a meaningful drive directly from arrival.

The \$400 flight change

One attending participant recounted considering moving their flight up to a 6:00 AM departure to arrive earlier, but discovered the change fee was **\$400**. They concluded the change was not worth \$400 to save approximately one hour, and the group agreed. The participant would arrive an hour later than ideal.

Full event lineup (as understood by attending participants)

Through the conversation, the schedule of events crystallized as follows:

- **Thursday night:** The eFund dinner (referenced phonetically in source as "eFus" / "eFest").
- **Friday at 10:00 AM:** The Space Station event at the warehouse.
- **Over the weekend:** The main marquee Growth Circle event, which Braiden Shaw indicated could draw approximately **1,000 attendees**.

Event-access and invitation mechanics

Toward the end of the call, the group clarified how event invitations are gated, since attending participants were uncertain about their eligibility:

- Invitations are distributed by Jackson via email.
- Investors in the eFund are invited to the first two events.

- For the Space Station event, an investor does not need to have invested in the Space Station fund itself — anyone who has made investments through Space Station (which constituted the bulk of the deals) is invited.
- One attending participant who had not yet invested in the eFund was advised to message Jackson directly, who could "board you" onto the invite list if registration had not closed.

A separate lighter exchange noted that exotic-car displays at the event had been a draw for at least one attending participant, who candidly described them as the reason they committed to going.

Heavy equipment property tax compliance — the central unresolved debate

This topic absorbed the largest share of the meeting's runtime and is the single most consequential unresolved theme. The discussion was lengthy, sometimes circular, and ultimately closed without a definitive answer — which itself became a key takeaway.

Origin of the concern — Cheryl Flynn

The issue was first raised on a prior weekly forum by Cheryl Flynn, a Growth Circle member who works for a large equipment leasing company. According to attending participants, Cheryl manages on the order of **\$100 million to \$1 billion in assets** ("some big number"), and therefore speaks with substantive authority on leasing and equipment taxation. Cheryl's point was that program participants are technically supposed to report and pay state and local business personal property tax on their equipment. Specifically: equipment is generally assessed on **January 1st** in the county where the equipment is physically located on that date, following that jurisdiction's property tax rules. One attending participant observed that "Cheryl has opened the Hornets nest" — meaning she raised a legitimate and important issue, but one that introduced significant new uncertainty into the group.

The Tuesday tax-attorney call

A tax attorney appeared on a call the prior Tuesday to address the question. However, attending participants reported that the attorney spoke only from the perspective of the state of Missouri and did not deliver a clear, generalizable answer on whether attendees owe state business personal property tax in their applicable jurisdictions. The prevailing impression from that call, summarized by one attending participant on May 29, was that the property tax is "one of those things that technically you should [do], but no one ever does." The same participant noted that the enforcement risk was low because the obligation is triggered by the investor registering equipment on January 1st in the relevant jurisdiction — and absent that registration the state has no straightforward way of identifying the obligation.

The EquipmentShare / EZ Equipment Zone representative perspective — Brian

A representative of the equipment vendor (referenced phonetically in source as "easy share" — i.e., EquipmentShare / EZ Equipment Zone), reportedly named Brian, stated on a prior call that they had never had a single client who had to pay this property tax. Attending participants noted the vendor is the entity actually purchasing the equipment from EquipmentShare, that program participants then buy from the vendor, and that the vendor has been "doing billion dollar business" without this becoming an issue. One attending participant pushed back on the moral framing, noting that the fact others have not done it "doesn't make it right" — "two wrongs to make a right" — and emphasizing that property tax is a self-reporting system.

Cheryl Flynn's "your comfort level" framing

Attending participants recalled that Cheryl Flynn, on the prior call, had ultimately framed the question as a personal risk-tolerance decision: "it's really up to each one of us and what we're comfortable with." On May 29, the consensus echoed this framing — the bottom line for each individual is whether to "roll the dice." The technical conclusion was "you probably technically should," but enforcement was widely viewed as extremely unlikely.

The Nexus concept — a pseudo-CPA contribution

A pivotal substantive contribution came from an attending participant who works in lease accounting (assisting both lessors and lessees). This participant, who self-identified humorously as a "pseudo CPA" and explicitly disclaimed the professional designation, walked through the concept of **state tax Nexus**: the principle that a business has to be "big enough" and "trip a certain amount of rules" in a jurisdiction before a tax obligation attaches. They did not state the specific Nexus triggers for state business personal property tax but confirmed that Cheryl Flynn's framing "sounds right." They drew an analogy to their own experience in the software industry — their company did not have Nexus and did not file in certain states for the first two years, but once sales in a state like Texas crossed a dollar or volume threshold, they had to begin reporting and assessing.

Threshold variability by jurisdiction

A major source of confusion was that the Nexus threshold varies by county, state, and city. Attending participants cited figures ranging from approximately **\$10,000 to \$50,000**, while another participant looked up a different figure mid-call and cited approximately **\$500,000** while acknowledging the figure "probably varies by state." This variability made the situation feel especially convoluted and is the reason the group could not produce a clean group answer.

The equipment-size strategy implication

The threshold variability created an interesting strategic wrinkle around equipment piece-count and piece-size:

- One attending participant who committed approximately **\$600K** (referred to as "about 600 Grand") received roughly **14 pieces of equipment**, many of them small — meaning a meaningful number of pieces individually fell under a hypothetical \$50K threshold.
- By contrast, Ben committed approximately **\$500K** and received only **3 pieces**, meaning each piece is larger and more likely to exceed thresholds and potentially trigger the tax.
- The realization was that piece-count and piece-size materially affect Nexus exposure; smaller and more numerous pieces may stay under thresholds.

The mobility problem

A further complication was equipment mobility. A given scissor lift might move from Florida to Texas to California to Virginia over the course of a year. This raised the unanswered question of whether tax would be owed in all four states. The pseudo-CPA participant compared this to the multi-state tax problems faced by professional sports teams and touring musicians — noting that those examples involve state income tax rather than local property tax, but that the structural complication is analogous. Another attending participant added that the mobility makes the issue "a little more complex."

Braiden Shaw's knowledge gap

Notably, when Braiden Shaw — described by attending participants as the member with the largest exposure ("skin in this game"), owning equipment positions described as in the millions and operating a "max team" of professionals who are not in the habit of letting things "fall through the cracks" — was asked the property tax question on a prior call, he reportedly "had no idea what we're talking about." The concept of bringing property tax obligations into the heavy equipment program was described as "completely new" to him; one attending participant noted they had "never heard anyone bringing that question." Attending participants were divided in interpretation: some found it reassuring (if even Braiden Shaw's professionalized team had never flagged it, perhaps the obligation is genuinely not enforced); others found it unsettling (no one with authority had a confident answer).

Plans to surface answers in Salt Lake City

The group's working plan was to press for clearer answers in person in Salt Lake City. Attending participants intended to ask Braiden Shaw directly, and several wanted the perspective of Garrett from Prime Tax Services, who was expected to attend the event and serves as a tax attorney for at least one attending participant. The group tempered expectations — they acknowledged that Garrett "will probably have a hard time answering the question on the spot" because he would need to review specific county thresholds to give an actual answer. One attending participant separately planned to consult their own CPA but had not done so at the time of the call.

State-specific assessment dates

Late in the discussion, an attending participant raised an important caveat: not all states use January 1st as the assessment date for business personal property. While the default assumption is January 1st, some states use a different date. **California** was specifically flagged as one of those "special states" with a different assessment date. This added another layer of complexity that the group could not resolve on the call.

T3 platform location history

Attending participants noted that the T3 platform (the equipment tracking platform used by the program) shows location history for each piece of equipment, including — apparently — location data preceding the participant's purchase date. There was discussion about whether the platform can specifically report where a piece sat on January 1st of a given year; one attending participant believed the data was retrievable but said they would need to "take a deeper look." Several attending participants expressed frustration that the property-tax-relevant location data is not surfaced more clearly "out of the box" in the platform interface.

Did anyone actually file last year?

An attending participant asked whether anyone who participated in the program in the prior year had filed any property tax returns on their equipment. The answer was a clear no — nobody filed, because the issue "didn't come up until last week" when Cheryl Flynn raised it on the prior call. This confirmed that the entire group had been operating without addressing this question, which both reinforced the low-enforcement reality and the group's newly surfaced uncertainty.

Property tax workaround — opt-in timing proposal and the equipment-control rebuttal

An attending participant (Jocelyn) raised what she described as a self-aware "twisted" workaround idea for the property tax problem. The proposal: rather than opt in on January 1st, time the opt-in to land later in the year, such that the equipment would sit in a tax-efficient location during the one week of the year that matters for assessment. She acknowledged she had partly talked herself out of the idea but wanted to put it on the table.

The group's response surfaced what attending participants viewed as the fatal flaw: the investor has no control over where the equipment is placed or whether it moves. As one attending participant put it, the issue with the proposal is "you have no idea where it's going to go or if it's going to go." Additionally, attending participants flagged genuine uncertainty about whether the tax would attach as of the day you opt in (e.g., January 3rd or 5th) or based on wherever the equipment sat at the assessment date.

Jocelyn followed up with a related strategic question: at purchase, can a participant specify a maximum per-piece size — for instance, requesting nothing larger than \$40,000 — to stay below Nexus thresholds in most jurisdictions. The group's answer was a qualified yes: if you start early in the year, you have some say in your equipment. The vendor (EquipmentShare / EZ Equipment Zone) tries to bundle pieces to hit your target number. One attending participant's target was **\$626K**, and the 14 pieces they received landed within a few hundred dollars of that target. Ben, by contrast, specifically requested the fewest pieces possible and received **3 pieces**. The qualifier was that participants who wait until October or November find the process becomes "a scramble" — they take whatever inventory is available. One attending participant reported having received **16 pieces** for approximately **\$400K** in a prior year.

The group also clarified one consistent placement rule: equipment is never placed in the state where the investor resides. California-resident participants will therefore never have equipment in California but could have it in any other state. One attending participant observed this might actually advantage California residents, reasoning that California property tax rates are likely higher than average. Another attending participant countered that Texas property taxes are also high — "two or three X" — precisely because Texas has no state income tax.

Sales tax mechanics

A related-but-distinct tax thread concerned sales tax on the equipment purchase and on the eventual sale at the end of the six-year hold. Attending participants discussed:

- The **initial sales tax** on the equipment purchase appears to be covered/handled by EquipmentShare / EZ Equipment Zone at the time of purchase. The attending participant from Highland Steel reported that this is written into the contract.
- There may be a **sales tax obligation at the exit**, which initially confused attending participants.
- The pseudo-CPA participant explained the structural rule: sales tax is owed wherever the item is sold and is paid by the purchaser. The analogy used was the purchase of a \$10,000 vehicle in Utah at approximately 7% — the \$700 in tax is paid by the buyer. Therefore, at the eventual sale of the equipment at year six, the sales tax obligation would be the purchaser's responsibility, not something the current investor-owner needs to plan for.
- For clarification, an attending participant confirmed that EquipmentShare / EZ Equipment Zone collected/paid the sales tax for the equipment at the time of purchase, per the contract referenced by the Highland Steel participant.

Contract request from a new participant

One attending participant who had just completed their commitment form reported that their CPA wanted a copy of the full equipment contract before they signed it formally. They asked the group whether anyone could share one or knew how to obtain it. The group's advice was to ask EquipmentShare / EZ Equipment Zone to send a copy directly so the CPA could review it pre-signature, and that the "advanced flex" document (Advantage Flex info packet) contains a large portion of the relevant documentation.

Purchase process — minimums, speed, and contact mechanics

The group shared practical details on how to actually execute a heavy equipment purchase, with particular focus on what is helpful for newcomers.

Minimum investment

The minimum investment was believed to be approximately **\$400K**, though attending participants admitted genuine uncertainty about the exact technical minimum and the precise lender rate. The general impression was that first-time participants probably need to come in at approximately the \$400K minimum, while returning participants can work more flexibly with their bank on size.

Speed of the process

Several attending participants reported that the process is moving much faster in 2026 than in the prior year. One attending participant cited a post indicating a participant had completed onboarding within **four weeks**. Derek reported completing his second-time purchase in approximately **one week**. Because EquipmentShare / EZ Equipment Zone already had his banking and personal information on file, the process consisted of stating his target amount (operating off the 10% commitment), filling out an updated finance form, and finalizing once approved.

How to get started — the email-Amy-Davis-then-lender path

Two converging contact paths emerged:

- One attending participant, per advice from Andy Martin (an EZ-network lender point of contact), was instructed to email **Amy Davis** at EquipmentShare / EZ Equipment Zone with the commitment amount; she would reply with the relevant parties copied to move the process forward.
 - Another attending participant emailed Amy Davis and was told that if the bank approves financing, the deal is approvable. Amy Davis directed that participant to reach out to **Liberty First** (the lender) first.
 - The takeaway: returning participants who used Liberty in the prior year can typically just text Andy Martin to restart. Participants switching banks or starting fresh follow the email-Amy-then-lender path.
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Material participation — the 100-hour requirement and recent organizer clarifications

The 100-hour material participation requirement under Treas. Reg. §1.469-5T(a)(3) (commonly referred to in the program as "Test 3") was a significant source of anxiety on the call, with recent organizer clarifications materially tightening what counts.

What attending participants reported does not count

Attending participants relayed the following organizer-stated clarifications, which they framed as recent and reportedly tighter than the prior-year understanding:

- **Research hours are questionable.** Some written materials suggest research is acceptable, but on calls the organizers have been "reluctant to say that research qualifies." This was described as an unresolved tension between written and verbal guidance.
- **Growth Circle call attendance does not count as active hours.** This was a shock to attending participants who, in the prior year, had attended three calls per week and counted all of them as active hours. As one attending participant put it: "we did a lot of these hours" and the group was "shocked." The clarification reportedly came from the Highland Steel participant on a prior call.
- **Re-watching recordings/replays is viewed skeptically.** (Discussed further in a later section.)
- **The pre- vs. post-LLC distinction.** Activity after the investor has purchased equipment and formed the LLC ("post buying it" / "post LLC") would count, whereas pre-purchase activity is more questionable.

LLC timing is critical

A repeated piece of practical advice was to form the investor-LLC sooner rather than later in the calendar year to allow time to bank the required 100 hours. Late formation — for example, December of 2025 — creates real compliance pressure to hit 100 hours. Multiple attending participants admitted having formed their LLCs late in the prior year (October or later).

The industry-spouse advantage

One attending participant described her "saving grace" for hitting hours despite a late-December 2025 LLC formation: her spouse works in the equipment industry and has legitimate work-related meetings and facility visits (including to Caterpillar) that contributed to the substantiation of hours. She noted that participants not in the equipment industry would have a much harder time reaching 100 hours, which is exactly why the research and call-attendance exclusions are so significant for newcomers. She also shared candidly that her spouse — described as the household's "numbers" person — cannot attend the program calls due to his job, leaving her to navigate the strategy and report back, and that he asks pointed analytical questions she sometimes cannot answer.

General nervousness

Multiple attending participants described being "a little nervous about the 100 hours" before the property-tax issue arose, and now felt they had "another one" to worry about. One attending participant half-joked that the Salt Lake City trip would generate the full 100 hours by itself because the participants would "only be talking about heavy equipment, nothing else." Jocelyn replied that as long as participants "say all the right things," the trip transcript would substantiate the hours.

AI-built material-participation and tax-modeling tooling — substantive contribution by an attending participant

An attending participant (Jocelyn) presented a suite of AI-powered tools she has personally built to assist the group with material-participation compliance documentation and tax modeling. This was an extended substantive contribution, and the group responded with clear enthusiasm.

The AI compliance module

The participant described an AI-based compliance tool seeded with the rules the organizers have stated publicly — for example, that research does not count but networking with people within the industry does. She asked the tool to enumerate the criteria it uses to classify activities. When she uploads a meeting transcript, the tool:

- Identifies which discussion topics in the transcript would qualify as material participation under the program's stated rules and which would not.
- Estimates time allocation — for instance, telling her that of an hour spent in a meeting, perhaps "20 minutes" was compliance-relevant and the remainder was not. She noted that on the May 29 call, given the wide-ranging discussion, the tool would likely produce less than one hour of qualifying material.

Notes-with-audit-defense generation

The participant explained that when she produces notes from a transcript and posts them on the resource site she maintains, the notes include an explanation of why and how the material participation classification would be defensible. Attending participants can read this defense, share it with their CPA, and ask whether the CPA concurs. She offered to share the underlying classification logic so other participants could review it independently and decide what to do with it, and she explicitly invited feedback.

The two prompts she described

- A **transcription-to-notes prompt** that transforms a raw transcript into structured notes with the compliance defense embedded.
- A **journal-entry creator prompt** that, given activity notes as input, produces an "audit-defensible, material-participation-supportive" journal entry explaining why the activity counts toward material participation.

The participant offered to build additional custom prompts for any other participant on request and offered to be available by call to walk through the tooling.

The material-participation tracker application

Beyond the prompts, the participant described a more ambitious application she has been building for heavy-equipment material-participation tracking. She acknowledged that the group already has the "logbook thing," but stated her application provides more functionality. Her application is essentially a journaling application with a backend engine that:

- Tracks material participation activities and hours.
- Cross-links related activities to one another.
- Knows when to "open and close and connect the dots" on activities (i.e., when to surface follow-up items and link entries that share context).
- Is interfaced with AI as an assistant she converses with — the AI tracks her activities conversationally as she describes them.
- Allows the user to upload evidence files to substantiate entries.

Tax modeling tools

The participant mentioned that she has built tax modeling and tax waterfall tools as spreadsheets that other participants can upload their own data into to visualize their tax situation. She gave specific credit to Braiden Shaw, noting that she took Braiden Shaw's original spreadsheet and "took it to the next level" with AI integration and interactive visualizations.

Distribution plan and audit-evidence vision

The participant described posting these resources to a GitHub-hosted resource site she has been calling the "knowledge hub," as well as on Skool (the program's community platform, referenced phonetically in source as "school"), and pasted the knowledge-hub link into the meeting chat. She committed to a fuller group-wide share "in a few days to a week" and explicitly invited feedback.

She also outlined a broader vision for an audit-defense repository for the group:

- Compile call replay links — she offered to ask Ben for the links to the recorded calls so they could be hosted on the resource site.
- Include Zoom attendee lists — she explained that having an attendance extract from the meeting platform is "nothing better" than self-reporting, because it proves "I was on the call" rather than relying on a participant's claim of having watched a replay alone. This would be substantially stronger evidence in an audit context.
- Combine the replay, the attendee list, the transcript, and the journal entry for each meeting into one accessible section.

The group responded with clear enthusiasm — multiple attending participants said "that'll be so great" and "thank you so much." One attending participant specifically asked whether the rollout could occur after Salt Lake City and joked that the combination of these tools with the in-person discussions at the event would generate "100 hours just like that."

Where recordings are currently posted

In the course of this discussion, attending participants clarified that the call recordings are typically posted on Skool. To find them, participants can search for Ben Oliver plus "heavy equipment" to locate the links. The participant offered to consolidate these links onto the resource site she maintains so attending participants would not have to hunt for them.

Replay hours — does watching a recording count?

An attending participant raised a personal question carrying over from the material-participation thread: in the prior year, they counted some material participation hours toward time spent re-watching recorded calls. They wanted the group's read on whether that time might not count.

The participant who had presented the AI tooling gave her candid (explicitly non-financial-advice) opinion: she would not count replay-watching as material participation. Her reasoning was that material participation, as she frames it, is essentially the networking and active operational work done within the program. Watching a replay alone, by contrast, looks "more like research than I'm actively working the business." She explicitly reiterated "again, not financial advice."

Another attending participant added nuance: one could try to classify replay-watching as something analogous to attending a webinar, but ultimately "it's all what you can defend in court." The working consensus was that replays

are weak, research-like evidence rather than solid material participation, and that live attendance — particularly when corroborated by an attendance-list extract from the meeting platform — is materially more defensible than a solo replay.

The discussion also touched briefly on a missed networking opportunity from earlier in the year: attending participants noted they "should have" attended an industry expo event in **Pasadena** that Sunil and Ben attended, recognizing in-person industry events as stronger material-participation evidence than passive content consumption.

Workforce Housing vs. heavy equipment — diversification analysis

A substantial portion of the call compared **Workforce Housing** as an alternative or complement to heavy equipment, within the broader context of attending participants wanting to diversify their tax strategies (oil and data centers were also mentioned as adjacent alternatives). The motivation, as articulated by one attending participant, was wanting to "diversify my tax this year" rather than relying solely on heavy machinery.

Case for Workforce Housing — one participant's modeled comparison

One attending participant who committed to Workforce Housing in the current year (multiple units — "many unit") shared a detailed comparison they ran when deciding between the two strategies. They reported being surprised that Workforce Housing came out slightly better in their analysis on the metrics they cared about:

- The internal rate of return (IRR) was slightly better for Workforce Housing.
- The cash flow was slightly better (though the participant noted they cared less about cash flow and more about overall return).
- The participant ran approximately four scenarios — stock market at an assumed 10% over six years, heavy equipment, Workforce Housing, and doing nothing — and Workforce Housing came out best in their analysis. The participant factored in the full exit strategy including the 56% buyback at year six.
- The participant cited a simpler trust structure as another favorable point for Workforce Housing.

NOL carryover correction

Initially one attending participant believed that, unlike heavy equipment, Workforce Housing did not allow loss carryover year-to-year, which they viewed as a disadvantage (with heavy equipment, some attending participants reportedly had sufficient carryover that they would not need to participate again the following year). However, this was corrected during the call: net operating loss (NOL) carryover rules apply the same way to Workforce Housing under IRC §172. "Same rules apply." The correction was welcomed.

The \$512K limit applies regardless of strategy mix

Attending participants noted that the **\$512K** annual limit is the same whether a participant elects one strategy or both — "it's the same concept," so a participant "just pick[s] their poison." (Source notes do not specify the underlying code section; this figure is widely understood in the program to refer to the IRC §461(l) Excess Business Loss cap for married-filing-jointly filers in 2026 as published in Rev. Proc. 2025-32 §3.31. Attending participants did not cite the source on the call.)

The 56% buyback and the taxable-event problem

A recurring theme on heavy equipment was uncertainty around the 56% buyback at year six. Attending participants noted that exit models are typically built around the 56% figure, but it remains "the unknown with heavy equipment." The core concern: if a participant does not re-deploy into new equipment to offset the buyback proceeds, the buyback creates a "big taxable event." The strategy articulated by one attending participant (who asked to be corrected if wrong) was essentially to "kick that can down the road" until retirement, when participants expect lower ordinary income. The counterpoint was that six years out, a participant would reassess the choice between selling, buying more, or pursuing alternative tax mitigation.

Effective-tax-rate dependency

A crucial nuance emerged: the attractiveness of these strategies depends heavily on the participant's effective tax rate. Attending participants with relatively low effective tax rates reported finding the benefit modest. One attending participant relayed that their CPA had said they "probably could have just been fine paying the taxes," but a separate Roth conversion materially raised their tax bill and drove them into heavy equipment. The general principle attending participants agreed on: higher effective tax rates likely favor Workforce Housing, but "you'd have to do the math to make sure."

Roth conversion context

The participant who entered heavy equipment via a Roth conversion described it as approximately a **\$150,000 conversion** — not large in isolation, but combined with their spouse's income, the resulting tax bill "scared" them and drove the decision to enter the heavy equipment program. They expressed being glad for the path despite the complexity, noting that with the tax return now in hand and enough carryover for the following year, they would have a "pause" requiring no major decisions in 2026. The converted funds would "grow tax free" going forward.

Reinvesting the refund

Multiple attending participants described a common pattern: receiving the tax refund (one attending participant reported receiving theirs the day before the call) and reinvesting it back into investments, so the capital remains "active" and continues compounding.

Checkbook LLC and self-directed retirement-account custody

An attending participant raised what she acknowledged was "off topic for this call": she was thinking of turning her converted Roth funds into a **checkbook LLC** structure to make investments within the Growth Circle program. She asked whether other attending participants had pursued this structure.

The responses:

- One attending participant confirmed they have both a Roth account and a 401(k) account, both self-directed at **Horizon Trust**, and that they have established a checkbook LLC structure with the custodian.
- Another attending participant noted they have a Horizon Trust account but had only done a few investments and therefore did not need the checkbook structure. The guidance they offered: if a participant intends to pursue VCs and constantly write checks, a checkbook LLC "probably makes sense"; if a participant is doing only occasional investments without deadline pressure, the structure may be unnecessary.
- A cautionary anecdote was shared: another participant had posted earlier in the week about issues with Horizon Trust moving slowly without a checkbook-LLC structure. By contrast, the attending participant who had done only a few investments (in Ethos and Bluebird) reported no rush or deadline pressure in their case.

- The Roth-conversion participant said that learning more about what to do with the new "influx of capital" — from both their tax refund and the Roth — was a key goal for the Salt Lake City trip. Their Roth was currently earning approximately **8.5–9%**, which they considered "not terrible" given they are about nine years from retirement, but they would like to find higher-performing alternatives. Ethos (referenced phonetically in source as "Evis") was suggested by another attending participant as a candidate, possibly with its own tax benefits such as bonus depreciation.
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K-1 timing, tax filing, and VC investment mechanics

The conversation turned to logistics around K-1 forms, tax filing, and the mechanics of K-1s for VC fund investments — an area where multiple attending participants were waiting on documents and were uncertain how to proceed.

Waiting on K-1s

Multiple attending participants described waiting on K-1s from various VC deals to finalize their personal tax returns. Specific funds/deals referenced across the conversation included eFund (phonetic "eFest"), Plan A, Gliding, Earthlings, and Alliance. One attending participant summarized that "everybody's waiting for their K-1s."

How VC K-1s work — per Braiden Shaw

Braiden Shaw was cited as having explained the K-1 mechanics for the typical VC structure used in the program:

- Each VC fund issues its own K-1.
- Investors generally receive a K-1 only in the year they invest and again in the year of exit — with no activity in the years in between.
- The reason is that program participants are limited partners in the fund, not general partners, so they "won't have any income or anything from it" in the intervening years. The year-one K-1 reflects the partner's share of the partnership (the investment and any profit or loss), and then there is "just no activity" until exit.

Investment-horizon discipline

Attending participants emphasized the importance of checking the time horizon and exit timeline for each individual VC investment to avoid concentrating exits in a single year. Examples cited: one investment had a roughly **10-year** horizon; another (referenced phonetically in source as "ancient crunch") had a **three-to-five-year** horizon. As one attending participant said, "you just have to check on each investment on what time horizon it is" to avoid having everything land "in year five or year 10."

The amendment dilemma

An attending participant who had already filed their tax return asked whether to file an amendment once K-1s from Gliding and Earthlings arrived late. The group's (explicitly non-professional) read:

- First, ascertain how much impact the K-1s would have on the return.
- If the impact is zero — which the responding participant believed it would be, given the limited-partner structure for non-exit years — then do not bother refiling. If later audited, the response would be "here, I forgot my K-1s" — "no harm, no foul" — with no real implication for the return.
- One attending participant offered to ask Garrett (their tax attorney at Prime Tax Services) about it and to report back.

- Another attending participant in the same situation was still unable to file because they were waiting on K-1s and were anxious to receive their refund to redeploy. They expressed wanting to tell their CPA that "even if these have anything, it's going to be [negligible] impact — just let me file and let's be done."
- Attending participants flagged a specific reason for caution this year: with heavy equipment positions on the return, they especially do not want to invite an audit.

Why K-1 filings are delayed

One attending participant learned from Jackson that the K-1 delays were because the funds were waiting on certain investors to provide their W-9s. Attending participants expressed frustration — one joked they would personally chase down the delinquent investors ("tell me who it is and I'll help you go get them"), noting that such investors typically only "come out of the woodwork around October." Attending participants flagged the October 15th extended deadline as feeling "so late."

Growth Circle community growth and membership fee structure

The call closed with a reflective discussion about the rapid growth of the Growth Circle community and the structure and dynamics of its membership-fee model.

Membership count and historical context

An attending participant looked up the current member count live during the call: **2,269 members**. The group contextualized this against various attending participants' recollection of the community's prior size:

- One attending participant recalled the community being around **1,500 members** at one point.
- Another recalled approximately **400 members** at the point they joined.
- One of the earliest members ("OGs"), Andrew, said the community was **50 members** when he joined in **early February 2025** — drawing a "wow" reaction from the group.

Attending participants marveled at the exponential growth — "it's incredible how much this has grown, how fast it's growing." It was also noted that Foundations and Growth Circle are now of comparable size, separated by only about **200 members**.

Concerns about scale

Attending participants wondered aloud whether the community's founder would impose membership limits to preserve the community feel, given his recurring framing of wanting the program to "feel like a community" but the inevitability at some membership size of "feel[ing] like a corporation." The reported plan from the founder was to increase the number of admins and source more deals, with no stated hard membership cap.

Fee structure, renewal lock-in, and the throttle theory

Attending participants discussed the fee model in depth:

- Fees vary widely by entry cohort. Cited figures ranged from approximately **\$1,200–\$1,400** for the earliest members, to approximately **\$4,000** for a middle cohort, to a current rate of approximately **\$7,000** (with some uncertainty whether the figure is six or seven). There was speculation that the fee could eventually rise toward **\$20,000**.

- Critically, the fee renews at the original locked-in rate and **never increases for existing members**. Whatever a member paid at original signup is the same rate at renewal — indefinitely. As Jocelyn confirmed, "it stays fixed."
- Jocelyn explained the strategic logic she had heard the founder articulate: he intends to keep raising membership fees specifically to "dwindle off" how many new members can afford to join — effectively using price as a throttle on community growth. She believed he has a target community size in mind but had not shared it publicly.
- The lock-in dynamic was likened by Jocelyn to "buying bitcoin when it was sub a thousand" — early members locked in disproportionate relative value.
- A practical anecdote illustrated the lock-in's power: an attending participant knew someone paying approximately **\$1,200–\$1,400** who was debating whether to renew. The attending participant's reaction was essentially "why would you ever leave? That's like nothing — this is way better" relative to what new members now pay.

Scheduling and closing

The call closed with weekly-cadence logistics:

- The next weekly call was tentatively scheduled for the following Friday (the 5th).
- The call on the 12th was discussed — since some attending participants (including Ben and Sunil) would not be in Salt Lake City and other attending participants would not be attending the Salt Lake City events, the group leaned toward keeping the call on the 12th for those who remained.
- Attending participants joked about joining the call from a plane or from the warehouse event location.
- Goodbyes were warm; one attending participant noted they needed to move to their next meeting. There was a closing joke about sharing exotic-car photos from the event with attending participants who could not make the trip.

Action items and open follow-ups

Action items with named owners

- Jocelyn to roll out a fuller group share of the AI-built compliance and tax-modeling tools "in a few days to a week," and to invite feedback from the group.
- Jocelyn to ask Ben for links to the recorded calls so they can be hosted on the resource site she maintains.
- One attending participant to ask Garrett (Prime Tax Services) about whether to amend a filed return upon receipt of late K-1s from Gliding and Earthlings, and to report back to the group.
- Attending participants planning to attend the Salt Lake City event to press Braiden Shaw and Garrett directly on the state business personal property tax question.
- The newly committed participant to request a copy of the equipment purchase contract from EquipmentShare / EZ Equipment Zone before signing the commitment form, for CPA review.

Open questions raised but not resolved on this call

- Do investor-LLC owners of program equipment owe state and local business personal property tax in jurisdictions where equipment is physically located on the assessment date? If so, in which jurisdictions and at what Nexus threshold?
- If a participant opts in mid-year (e.g., January 3rd or 5th), does the property tax obligation attach as of the opt-in date or as of the assessment date of the jurisdiction where the equipment sits?
- Do California's non-January-1 assessment dates and other "special states" change the analysis for equipment located in those jurisdictions?
- Does the T3 platform reliably surface equipment location as of January 1st (or the relevant alternative assessment date) for each piece in a participant's portfolio?
- Does the program offer any reliable way to restrict per-piece equipment size at purchase to a specific maximum (e.g., \$40,000) to stay below Nexus thresholds in most jurisdictions?
- Does re-watching recorded calls count as material participation under Treas. Reg. §1.469-5T(a)(3), and if so under what classification — as a webinar-equivalent or as research?

Logistical follow-ups

- Next weekly call tentatively held the following Friday (the 5th).
- The forum on the 12th tentatively to remain in place for participants not attending Salt Lake City.
- The Salt Lake City event itself constitutes the next major program-wide gathering (Thursday eFund dinner, Friday Space Station event at 10:00 AM at the warehouse, weekend marquee event).

Material participation relevance

This section describes — in generic, content-category terms — what segments of the meeting plausibly count toward an attending program participant's Treas. Reg. §1.469-5T(a) material-participation hour budget, and what segments do not. It does not name any specific participant, make a classification call for any specific participant, or state hours that any specific participant should log. Those decisions belong in each attending participant's private journal entry.

Content that supports material participation (Test 3 qualifying for active program participants): the property tax compliance debate (entity-specific operational diligence on a potentially material tax obligation directly affecting the participant's LLC); the sales tax mechanics discussion (operational tax structure of the participant's transaction chain); the purchase process and minimum-investment discussion (active operational coordination with the lender and the vendor for an active participant); the 100-hour material participation rule clarification (entity-specific compliance discipline directly impacting the participant's classification); the workforce housing vs. heavy equipment comparison and the 56% buyback / effective-tax-rate dependency analysis (operational strategy diligence for an active participant); the K-1 timing and amendment-dilemma discussion (operational tax-administration of the participant's investment portfolio); and the self-directed-account / checkbook-LLC discussion to the extent the participant is actively administering the entity that holds program investments.

Content that does not support material participation: Salt Lake City event logistics and travel coordination (general event logistics, not entity-specific operations); the exotic-cars exchange (recreational); the community-growth and membership-fee history discussion (program-level discussion, not entity-specific); and segments that frame as general program education for participants attending in an exploratory capacity rather than as operators of an active program LLC. Note the investor-capacity disqualifier at Treas. Reg. §1.469-5T(f)(2)(ii) where

it likely applies.

The mixed-meeting principle: this meeting combined both. The apportionment decision is for each attendee's individual journal entry, with reference to the segment-by-segment breakdown the minutes provide.

Cross-references

- Prior weekly forum (the call at which Cheryl Flynn first raised the state business personal property tax issue) — the May 22 weekly forum minutes are the upstream record.
 - The Tuesday-prior tax-attorney call addressing the Missouri-perspective property tax question — referenced but not minuted in this file.
 - The "knowledge hub" GitHub resource referenced and linked in chat by an attending participant — referenced but not embedded.
 - The Advantage Flex info packet — referenced as the source document containing the bulk of relevant program documentation including the contract terms covering vendor handling of sales tax.
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Data integrity statement

These minutes were authored on June 7, 2026 from a single-source written recap of the May 29, 2026 weekly open forum. The source recap was a structured exhaustive summary running approximately 39,000 characters across 13 topical sections, covering travel logistics, the property tax compliance debate, an opt-in timing workaround proposal, sales tax mechanics, the purchase process, material participation rules, AI-built tooling presented by an attending participant, replay-hours posture, Workforce Housing comparison, self-directed-account custody, K-1 timing, community growth and fee structure, and closing logistics.

Named attributions in these minutes are taken from the source recap. Where the source identified attending participants only by first name, last names have not been guessed. Two corrections to source spellings have been applied: the deal lead's name is rendered "Braiden Shaw" rather than the source's "Braden," per the operator's confirmation that the correct spelling is "Braiden" with an "i." Other surname corrections (e.g., the Highland Steel and Ethos references) have not been attempted in the absence of confirmation. The phonetic references in the source — "eFus" / "eFest" (eFund), "school" (Skool), "Evis" (Ethos), "easy share" (EquipmentShare / EZ Equipment Zone), "ancient crunch" (an unidentified VC deal) — have been carried through in their context with the most likely intended spelling. Numbers from the source have been preserved verbatim throughout, including the wide threshold range (\$10K–\$50K vs. \$500K), commitment figures (\$400K, \$500K, \$600K, \$626K), buyback rate (56%), Roth conversion size (\$150K), Roth current performance (8.5–9%), the EBL-relevant \$512K figure, the membership-fee ladder (\$1,200–\$1,400 to \$4,000 to ~\$7,000 with speculation toward \$20,000), and the live-checked membership count of 2,269.

Known gaps and source limits: the source recap did not state exact meeting start and end times; duration is reported as "approximately 60 minutes" based on the recurring weekly format. Attendee list is partial — only attending participants who were quoted or named in substantive context are listed in the metadata. Recording status was not stated in the source. Several substantive claims are attributed only to "one attending participant" or "another attending participant" because the source did not identify the speaker by name; these attributions have been preserved as the source presented them rather than guessing.

This is a working contemporaneous record, not a verbatim transcript. A corrected version would be triggered by: a meeting recording surfacing that corrects an attribution or a figure; the operator confirming additional surname corrections; or a participant identifying a substantive segment that was missed in the source recap. No individual participant's hours decision, LLC, loan terms, or personal tax position is embedded in this file; those facts live in the relevant attendee's private journal entry referencing these minutes.